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Attorneys at Law, A Law Corporation

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Attorney for Taxpayer-Appellant
CATHERINE K. COBB, NOW KNOWN AS
CATHERINE PARRY

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05-JAN-2021
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TAX APPEAL COURT

OF THE STATE OF HAWAII

In the Matter of the Appeal of CATHERINE K. COBB, NOW KNOWN AS CATHERINE PARRY, Taxpayer-Appellant.	TX Case No. _____ NOTICE OF APPEAL TO TAX APPEAL COURT; EXHIBITS "A" and "B"

NOTICE OF APPEAL TO TAX APPEAL COURT

Pursuant to Sections 232-16, 235-64, 235-114, 237-41.5 and 237-42, Hawaii Revised Statutes, and other applicable law, Taxpayer-Appellant CATHERINE K. COBB, NOW KNOWN AS CATHERINE PARRY, appeals from the Final Notice of Personal Liability for General Excise Tax dated December 22, 2020, a redacted copy of which is attached hereto as Exhibit A, and the Notice of Final Assessment of Withholding Tax dated December 22, 2020, a redacted copy of which is attached hereto as Exhibit B (collectively the **"**Notices**"**). In support of this appeal, Taxpayer-Appellant submits the following information:

I. TAXPAYER'S NAME, ID AND ADDRESS

CATHERINE K. COBB, NOW KNOWN AS CATHERINE PARRY Tax ID No. xxx-xx-8969
110 Rosebrook Street
Henderson, TX 75654-3726

II. REPRESENTATIVE

Ronald I. Heller
Torkildson Katz Hetherington Harris & Knorek
700 Bishop Street, 15th Floor
Honolulu, Hawaii 96813-4187

rheller@torkildson.com

Phone: (808) 523-6000
Fax: (808) 523-6001

III. TYPE OF TAX AND PERIODS INVOLVED

The assessments in dispute are "responsible person" penalty assessments, purportedly made under HRS Sections 235-64 and 237-41.5, related to Withholding Tax and General Excise Tax due from (or purportedly due from) Kailua Print Shop LLC, for tax periods from the year ended December 31, 2015, to the month ending March 31, 2020, as shown in detail in the Notice attached as Exhibit A.

IV. AMOUNTS IN DISPUTE

The specific amounts are set forth in the Notices, attached hereto as Exhibits A and B. The aggregate amount in dispute may be summarized as follows:

Entity & Tax Type	Tax Years	Total Amount
Kailua Print Shop LLC GE Tax	2015-2020	$79,596.16
Kailua Print Shop LLC Withholding Tax	2015-2020	20,967.99
TOTAL		**$100,564.15**

All amounts are in dispute insofar as the personal and individual liability of Taxpayer-Appellant CATHERINE K. COBB, NOW KNOWN AS CATHERINE PARRY, is concerned.

With respect to the liability of Kailua Print Shop L.L.C., Taxpayer-Appellant CATHERINE K. COBB, NOW KNOWN AS CATHERINE PARRY, reserves the right to challenge whether the amounts purportedly owed by Kailua Print Shop L.L.C. are correct.

V. REASONS FOR DISPUTE

1. The Department has wrongly and unlawfully concluded that CATHERINE K. COBB, NOW KNOWN AS CATHERINE PARRY, personally and individually, is liable for GE Tax due from (or purportedly due from) Kailua Print Shop L.L.C.

2. Upon information and belief, the Taxpayer-Appellant asserts that the Department made its assessment without any actual investigation of the facts or any determination that willful conduct by the Taxpayer-Appellant occurred.

3. Taxpayer-Appellant did not have control over the payment or non-payment of taxes by Kailua Print Shop L.L.C.

4. Taxpayer-Appellant did not willfully fail to pay any tax due from Kailua Print Shop L.L.C.

5. In addition, Taxpayer-Appellant does not agree that Kailua Print Shop L.L.C. ever actually owed any of the Withholding Tax or GE Tax amounts in question.

6. Over $11,788 of the amount purportedly due from Kailua Print Shop L.L.C. consists of penalties related to GE Tax, and over $3,158 of the amount purportedly due from Kailua Print Shop L.L.C. consists of penalties related to Withholding Tax. Taxpayer-Appellant does not admit or concede that the underlying tax assessments against Kailua Print Shop L.L.C. were correctly and properly increased by the application of penalties.

7. Even **if** Kailua Print Shop L.L.C. owes those penalties – which is **not** conceded – there is no basis for assessing penalties against CATHERINE K. COBB, NOW KNOWN AS CATHERINE PARRY, personally.

8. Taxpayer-Appellant reserves the right to assert other and further errors by the Department after obtaining further information, through discovery in this action or otherwise.

VI. RELIEF SOUGHT

Taxpayer-Appellant hereby requests that the Court enter Judgment in favor of Taxpayer-Appellant, finding, adjudging, and declaring:

(1) That the Notices dated December 22, 2020 that are the subject of this case are erroneous, contrary to law, and null and void;

(2) That Taxpayer-Appellant, individually, does not owe any tax related to Kailua Print Shop L.L.C. under HRS Section 235-64, HRS Section 237-41.5, or otherwise, for any tax period;

Taxpayer-Appellant further requests that the Court award Taxpayer-Appellant her attorneys' fees and costs, together with such other and further relief as the Court may deem appropriate.

DATED: Honolulu, Hawaii, January 5, 2021.

TORKILDSON KATZ
HETHERINGTON HARRIS & KNOREK
Attorneys at Law, A Law Corporation

/s/ Ronald I. Heller
RONALD I. HELLER

Attorney for Taxpayer-Appellant
CATHERINE K. COBB, NOW KNOWN AS
CATHERINE PARRY

Filing Fee Paid $100.00

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Exhibit A

DAVID Y. IGE
GOVERNOR

JOSH GREEN M.D.
LT GOVERNOR

STATE OF HAWAI'I
DEPARTMENT OF TAXATION

ISAAC W. CHOY
DIRECTOR OF TAXATION

DEPUTY DIRECTOR

CATHERINE K. COBB
CATERINE (COBB) PARRY
110 ROSEBROOK ST
HENDERSON TX 75654-3726

Date: December 22, 2020
Letter ID: [redacted]
SSN: XXX-XX-8969

FINAL NOTICE OF PERSONAL LIABILITY FOR GENERAL EXCISE TAX
IMPORTANT: FINAL NOTICE – READ CONTENTS CAREFULLY

Please read this Final Notice of Personal Liability carefully.

A determination has been made in accordance with sections 237-41.5, Hawaii Revised Statutes, that you are personally liable for General Excise Tax of KAILUA PRINT SHOP L.L.C..

Please remit the total tax liability with the voucher provided below. If you are unable to remit the entire amount, please contact the Preparer to discuss alternative payment options.

Cut carefully along this line to detach.

STATE OF HAWAII, DEPARTMENT OF TAXATION

PAYMENT VOUCHER

Do not photocopy this voucher. Do not send multiple checks with this voucher.

Collection Action Payment
Name: CATHERINE K. COBB
ID Type: Collection ID (30)
[redacted]
Voucher Date: Dec-22-2020
[redacted]

Department Use Only

Make check payable to: Hawaii State Tax Collector
Mail to: PO Box 1530 Honolulu, HI 96806-1530

Amount Due: 79,596.16

Pay Online at hitax.hawaii.gov
[redacted]

FINAL NOTICE OF PERSONAL LIABILITY FOR GENERAL EXCISE TAX
Detail of Accounts

CATHERINE K. COBB

SSN: XXX-XX-8969
Date. December 22, 2020

GE-086-121-2672-01 - General Excise

Period Ending	Tax	Penalty	Interest	Other	Credits	Balance
31-Mar-2020	$2,454.53	$368.19	$166.92	$0.00	$0.00	$2,989.64
						$2,989.64

GE-086-121-2672-01R - General Excise Reconciliation

Period Ending	Tax	Penalty	Interest	Other	Credits	Balance
31-Dec-2018	$14,108.99	$3,527.25	$2,421.96	$0.00	$0.00	$20,058.20
31-Dec-2019	$14,728.64	$2,209.32	$1,001.55	$0.00	$0.00	$17,939.51
31-Dec-2015	$4,421.89	$1,105.50	$2,085.16	$25.00	$0.00	$7,637.55
31-Dec-2016	$8,538.39	$2,134.60	$3,173.72	$0.00	$0.00	$13,846.71
31-Dec-2017	$11,253.87	$2,813.45	$3,057.23	$0.00	$0.00	$17,124.55
						$76,606.52

Explanation:

This determination is prepared under section 237-41.5, Hawaii Revised Statutes, against CATHERINE K. COBB, Member of KAILUA PRINT SHOP L.L.C., XX-XXX9356, for unpaid General Excise Tax.

If you have any questions regarding this determination, please contact us at the address and phone number below.

DIRECTOR OF TAXATION
By:

Kevin Wakayama
Taxation Compliance Division
Administrator

PREPARER:

L. Nguyen
Oahu Collection Branch
PO BOX 259
Honolulu HI 96809-0259
Telephone: (808) 587-1596

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Exhibit B

DAVID Y. IGE
GOVERNOR

JOSH GREEN M.D.
LT. GOVERNOR

STATE OF HAWAI'I
DEPARTMENT OF TAXATION

ISAAC W. CHOY
DIRECTOR OF TAXATION

DEPUTY DIRECTOR

CATHERINE K. COBB
CATERINE (COBB) PARRY
110 ROSEBROOK ST
HENDERSON TX 75654-3726

Date: December 22, 2020
Letter ID: [redacted]
SSN: XXX-XX-8969

NOTICE OF FINAL ASSESSMENT OF WITHHOLDING TAX
IMPORTANT: FINAL NOTICE – READ CONTENTS CAREFULLY

A determination has been made in accordance with section 235-64, Hawaii Revised Statutes (HRS), resulting in a final personal assessment of Withholding Tax.

If you agree with this determination of liability, please remit the total tax liability with the voucher provided below. If you are unable to remit the entire amount, please contact the preparer of this assessment to discuss alternative payment options.

Please examine this Notice of Final Assessment carefully. If you do not agree with this determination, you may file an appeal as provided under section 235-114, HRS, to the Board of Review or the Tax Appeal Court within 30 days from the date of this letter.

Cut carefully along this line to detach.

STATE OF HAWAII, DEPARTMENT OF TAXATION
PAYMENT VOUCHER
Do not photocopy this voucher. Do not send multiple checks with this voucher.

Collection Action Payment
Name: CATHERINE K. COBB
ID Type: Collection ID (30)
[redacted]
Voucher Date: Dec-22-2020
[redacted]

Make check payable to: Hawaii State Tax Collector
Mail to: PO Box 1530 Honolulu, HI 96806-1530

Amount Due: 20,967.99

Pay Online at hitax.hawaii.gov
[redacted]

EXHIBIT "B" (page-1)

NOTICE OF FINAL ASSESSMENT OF WITHHOLDING TAX
Detail of Accounts

CATHERINE K. COBB

SSN: XXX-XX-8969
Date: December 22, 2020

WH-086-121-2672-01 - Withholding

Period Ending	Tax	Penalty	Interest	Other	Credits	Balance
30-Jun-2018	$1,373.62	$236.45	$282.22	$0.00	-$191.38	$1,700.91
31-Mar-2020	$492.56	$73.89	$33.52	$0.00	$0.00	$599.97
						$2,300.88

WH-086-121-2672-01R - Withholding Reconciliation

Period Ending	Tax	Penalty	Interest	Other	Credits	Balance
31-Dec-2018	$1,301.27	$260.25	$227.30	$0.00	$0.00	$1,788.82
31-Dec-2015	$4,625.91	$1,156.50	$2,220.48	$0.00	$0.00	$8,002.89
31-Dec-2016	$1,005.14	$251.30	$382.12	$0.00	$0.00	$1,638.56
31-Dec-2017	$4,729.89	$1,182.45	$1,324.50	$0.00	$0.00	$7,236.84
						$18,667.11

Assessment Reason(s):

This assessment is prepared under section 235-64, Hawaii Revised Statutes, against CATHERINE K. COBB, Member of KAILUA PRINT SHOP L.L.C., XX-XXX9356, for unpaid Withholding Tax.

If you have any questions regarding this assessment, please contact us at the address and phone number below.

DIRECTOR OF TAXATION
By:

Kevin Wakayama
Taxation Compliance Division
Administrator

PREPARER:

L. Nguyen
Oahu Collection Branch
PO BOX 259
Honolulu HI 96809-0259
Telephone: (808) 587-1596